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OPPORTUNITIES **DESPITE** THE TURMOIL

THOUGH US HAS NOT PUSHED BACK RESOLUTELY ON INDIA'S POLICY ON THE UKRAINE WAR BECAUSE OF CONVERGENT INTERESTS ON CHINA, ITS DISCOMFORT IS ALL TOO REAL

The year 2022, like the two years preceding it, proved to be wretched and dispiriting. Although Covid-related mortality levels declined globally thanks to increased vaccinations and rising immunity from previous infections, the world remained stubbornly in the pandemic's grip, which bred diverse economic dislocations of varying intensity. The liberal fiscal and monetary policies that most nations were compelled to pursue in response only complicated things further. While necessary to protect citizens from acute economic pain, they inevitably engendered problematic, even if anticipatable, blowback in the form of sharply increased inflation produced by too much money chasing too few goods.

While the international system struggled with these calamities, it was unfortunately dealt another body blow, this time entirely due to brazen political viciousness: a premeditated war of conquest initiated by Vladimir Putin's Russia against its immediate neighbour, Ukraine. In a blatant violation of Russia's own previous commitments to respect Ukraine's sovereignty and its borders, Putin's aggression aimed to decisively eliminate Ukraine as an independent state and absorb it once again into a reconfigured Russian empire.

That this belligerence represented a shocking violation of the UN Charter and the gravest threat to international order in recent years was not in any doubt. But the consequences of this unnecessary war went beyond the hardship caused to Ukraine and Russia: it engulfed the entire international community and brought in its trail a spike in energy prices and severe disruptions in food supplies, while intensifying the problems of inflation previously caused by the Covid crisis. The imperative of arresting this runaway inflation inevitably prompted central banks around the world to sharply raise interest rates, which then produced the danger of a forced economic slowdown, if not an actual recession, in many countries.

The year 2023 has thus begun with unsettling forebodings and the promise of continuing tumult.

For starters, the Russian aggression in Ukraine shows no signs of ending. Despite the unexpected reverses suffered by Moscow, Putin seems determined to prosecute this war irrespective of its costs for the Russian people or the future viability of the Russian state. While India is not a party to this conflict—and has censured it with varying degrees of subtlety—New Delhi will nonetheless be affected, even harmed, by it. The immediate benefits of cheap Russian oil should not obscure the larger problems lying on the horizon: the interruption of Russian military spares because of Western sanctions on Moscow's military-industrial

WORLDWIDE INFLATION AND A GLOBAL ECONOMIC SLOWDOWN WILL IMPACT INDIA'S IMPORT BILL **AND CONSTRAIN INDIAN EXPORTS—**A DRIVER OF **GROWTH**